

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

JIMEX USA, INC., *Claimant*

v.

PRESTIGE SHIPPING, INC., *Respondent*.

DOCKET NO. 2053(I)

Served: August 13, 2026

ORDER OF: Debra L. TESH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding comes before the Federal Maritime Commission (“FMC” or “Commission”) upon filing of an informal small claims complaint (“Claim”) by Jimex USA, Inc. (“Claimant”) against Prestige Shipping, Inc. (“Respondent”). At the center of this dispute is Claimant’s allegation that Respondent violated 46 U.S.C. § 41102(c) in connection with the shipment of three vehicles from the United States to Poti, Georgia. *See Claim*.

According to the Claim, the parties entered into an agreement for Respondent to arrange transportation of three vehicles from Texas to Poti, Georgia. In support of its Claim, Claimant points to a series of omissions and misrepresentations by Respondent. Specifically, Claimant alleges that Respondent failed to advise or offer cargo insurance when Claimant booked the transport. Following a fire on board the vessel and delay of the shipment in Greece, the relationship between the parties deteriorated. Respondent is said to have assured Claimant that the container would be forwarded to Georgia once the investigation was concluded and Greek authorities released the cargo. Claimant asserts that Respondent subsequently severed all communications with Claimant, actively frustrated downstream recovery efforts, and effectively abandoned its operational duties. Claimant seeks reparations in the amount of \$43,658 for the value of the cargo, freight and associated shipping costs. *See Claim*.

Respondent disclaims all liability, maintaining its role was strictly confined to that of an ocean transportation intermediary (“OTI”), specifically a non-vessel-operating common carrier (“NVOCC”), and merely arranged and booked the transportation of Claimant’s cargo.

¹ Pursuant to 46 C.F.R. § 502.304(g), this initial decision will become final unless the Commission elects to review it within thirty (30) days of service.

Specifically, Respondent contends that, because it never physically handled or possessed the cargo, it bears no contractual or statutory responsibility for any cargo damage or the resulting delay in performance of the transportation contract. Response, at ¶ I; *see also* R. Resp. RFI. As to the current status of the vehicles, Respondent maintains that, to the best of its knowledge, the vehicles remain detained in Greece by authorities, pledging to cooperate with completion of delivery once the cargo is released. R. Resp. Sec. RFI, at Q5, Q6.

For the reasons discussed below, Claimant has established by a preponderance of the evidence that Respondent violated 46 U.S.C. § 41102(c) and is entitled to reparations.

B. Procedural History

On March 18, 2026, the Office of the Secretary (“OS”) of the FMC received the Claim, together with exhibits marked A through H. On March 20, 2026, OS served a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), together with a copy of the Claim on the parties and directed Respondent to file a formal response by April 14, 2026. *See* Notice.

Respondent timely filed its formal response (“Response”) on April 7, 2026. *See* Response.

On June 12, 2026, a Notice of Assignment (“NOA”) was issued assigning the matter to the undersigned Small Claims Officer (“SCO”). *See* NOA. That same day, the SCO issued an Order Requesting Additional Information and Documentation (“RFI”), directing parties to submit responses and supporting documentation by June 26, 2026, and any replies by July 10, 2026. *See* RFI.

On June 26, 2026, Claimant filed its response to the RFI, together with supporting documentation designated as Exhibits A through N² (“C. Resp. RFI”). Respondent filed its response and supporting documentation on the same date, accompanied by attachments of supporting documentation Exhibits A through I (“R. Resp. RFI”).

On July 10, 2026, Claimant filed a reply (“Reply”) asserting Respondent’s submission was nonresponsive to the questions posed in the RFI. *See* Reply.

On July 15, 2026, the undersigned issued a Second Order Requesting Additional Information and Documentation (“Sec. RFI”) directed solely to Respondent. The Sec. RFI required Respondent to submit additional responses by July 22, 2026, and permitted Claimant to file a reply by July 29, 2026. *See* Sec. RFI.

Respondent initially attempted to respond to the Sec. RFI by email on July 20, 2026, attaching duplicate copies of documents previously submitted with its R. Resp. RFI and marked as Exhibits A through I. *See* July 20, 2026 Email at 10:53 am. Because this submission did not comply with instructions for filing in the Sec. RFI, the email was not accepted as a proper

² Exhibits attached to the Claim, Response and both parties’ responses to the RFIs identify exhibits alphabetically beginning with A. To avoid confusion, citations in the initial decision identify both the exhibit designation and the title of the pleading to which the exhibit is associated.

pleading. Later the same day, Respondent properly refiled its response to the Sec. RFI (“R. Resp. Sec. RFI”), attaching only an investigation survey report prepared by Kalimbassieris Maritime³ and a duplicate copy of a memorandum previously submitted with R. Resp. RFI and marked as Exhibit A. Although the pleading indicated additional exhibits associated with the memorandum should be attached, none were provided.

On July 29, 2026, Claimant filed its reply to R. Resp. Sec. RFI (“C. Sec. Reply”) along with an attachment marked Exhibit 2.⁴ See C. Sec. Reply. Among assertions of Respondent’s nonresponsiveness and nonproduction of documents requested by the SCO, Claimant’s pleading explicitly noted that Respondent’s R. Resp. Sec. RFI did not include the exhibits referenced in its pleading.

Respondent did not contact OALJ or OS to address missing attachments to its R. Resp. Sec. RFI submission or otherwise supplement the record.

II. FINDINGS OF FACT (“FF”)

1. Claimant, Jimex USA, Inc., is an exporter of vehicles with a principal place of business in Orlando, Florida. Claim, at ¶ I. Claimant also does business under the name of Best Auto USA. C. Resp. RFI, at Exhibits K and L.
2. Respondent, Prestige Shipping, Inc., is an NVOCC incorporated in the United States. Respondent is licensed as an NVOCC with the FMC under Organization No. 025149 with a principal place of business in Old Bridge, New Jersey. Respondent’s posted NVOCC surety provider is United States Fire Insurance Company.
<https://www2.fmc.gov/oti/> (last visited August 10, 2026).
3. Claimant purchased the following vehicles for export to Georgia, and title to each was reassigned to Claimant:
 - 2024 Tesla Model Y VIN 7SAYGDEE1RF988952 value \$15,060.00
 - 2023 Tesla Model Y VIN 7SAYGDEE3PA210498 value \$18,331.25
 - 2019 Jeep Cherokee VIN 1C4PJLLB7KD176369 value \$4,353.00

Claim, at Exhibit G; R. Resp. RFI, at Exhibit H.

4. Claimant contracted with Respondent to arrange transport of these vehicles to Poti, Georgia, and the vehicles were loaded into container TRHU5228250 under booking number 257041331. Claim, at ¶ IV; C. Resp. RFI, at Exhibits B and C; R. Resp. RFI, at Exhibits G and H.

³ The survey report is marked as Exhibit 6 corresponding to labeling in the memorandum completed by Gerassimou & Partners submitted with the R. Resp. RFI. For purposes of this proceeding, the document is remarked as R. Resp. Sec. RFI Exhibit J.

⁴ The pleading did not reference or include a document marked as Exhibit 1.

5. Maersk issued master bill of lading number 257041331 to Respondent as shipper under service contract 299425746. The bill of lading identifies Claimant's three vehicles with VIN numbers as the contents in container number TRHU5228250 to be shipped from Houston, Texas to Poti, Georgia. C. Resp. RFI, at Exhibit G12.
6. Respondent issued a corresponding house bill of lading to Claimant listing the same cargo and container number to be shipped from Houston, Texas to Poti, Georgia. R. Resp. RFI, at Exhibit H.
7. In addition to the purchase value of the vehicles, Claimant incurred \$5,913.75 in freight, loading, and inland logistics expenses to arrange the shipment. Claimant's total out of pocket loss is \$46,658.75. *See* Claim. These expenses consist of:
 - \$2,900 paid to Respondent on September 25, 2025, for ocean freight and associated fees. Respondent issued invoice 107650 for freight to Claimant in the amount of \$2,750. Claim, at Exhibit E; C. Resp. RFI, at Exhibits G4, G5.
 - \$950 paid to Total Global Logistics on September 25, 2025, for container loading. Claim, at Exhibit F.
 - \$2,063.75 for inland logistics transportation within the United States to deliver the vehicles to the point of origin in Houston, Texas. Although not accompanied by a receipt, this amount was explicitly set forth in the Claim and Respondent did not dispute that Claimant incurred this logistical cost. This amount is accepted as an unrebutted expense. *See* Claim; Response.
8. On the same voyage, Respondent also arranged for the shipment of container MSKU1151727 belonging to Caramoto LLC ("Caramoto"). Among the three vehicles in that container was a 2022 Tesla Model S VIN 5YJSA1E63NF460643. R. Resp. Sec. RFI, at Exhibit J.
9. The shipment had an estimated date of arrival in Poti, Georgia, of September 30, 2025. Claim, at Exhibit B.
10. On October 2, 2025, Respondent notified the exporters of both containers that a fire occurred aboard the vessel and that cargo may have been damaged. Respondent further advised that the containers would be held at Port Piraeus, Greece, for inspection. In response to Claimant's request for additional information, Respondent stated that, based on an initial survey, all cargo would need to be disposed of. Respondent further advised that it could not share the internal reports with its customers; however, costs associated with the incident were estimated to be substantial. C. Resp. RFI, at Exhibits H and I; R. Resp. RFI, at Exhibit D.
11. Claimant inquired about compensation to which Respondent's representative stated "[u]nfortunately this is not how this works. The carrier will not compensate you but instead you may be responsible for additional charges for the loss of equipment, damages and other associated fees if the fire started inside of your container. If it initiated from

another container you will likely not be held responsible for other fees. Unfortunately that is the e [sic] maritime legal standard and our team will provide you all of the information as it becomes available.” C. Resp. RFI, at Exhibit J.

12. On October 5, 2025, the parties exchanged further communications where Respondent advised Claimant that the carrier was not responsible for compensating Claimant for its damaged cargo since Claimant did not purchase cargo insurance. Instead, Respondent again advised Claimant that it would likely be responsible to the carrier for damages. Respondent offered to sign a limited power of attorney so that Claimant could communicate directly with Maersk. C. Resp. RFI, at Exhibit J1.
13. Claimant contacted Maersk to file a claim and was advised to contact Respondent as shipper of record. A Senior Claims Adjuster explained to Claimant that since Claimant is not named on the Maersk master bill of lading, it is not a rightful party to pursue a claim directly with Maersk. The claims adjuster advised Claimant that it must file a claim directly with Respondent as the issuer of the house bill of lading or obtain an Assignment of Rights in order to pursue a claim directly with the carrier. C. Resp. RFI, at Exhibit K.
14. On October 8, 2025, Claimant prepared and signed an Assignment of Rights form and emailed the document for Respondent’s signature. C. Resp. RFI, at Exhibit L. Respondent never returned the form. C. Sec. Reply, at Q1.
15. On October 13, 2025, a representative from Respondent forwarded an email from an unidentified “Greece contact” following the preliminary inspection of the vehicles. The email provided the option to remove the vehicle batteries and continue transport to the destination in Georgia or send the vehicles for destruction. The email advised that the cost to remove the batteries would be ₹35,000-₹50,000 (Indian Rupees) and these costs would be borne by the shipper. The original email showed that the initial survey report was attached but instructed Respondent to only share photographs with Claimant and refrain from sharing any written content from the report to “safeguard” Respondent’s rights. R. Resp. RFI, at Exhibit C.
16. The parties continued to communicate regarding the situation. On October 13, 2025, Claimant sent Respondent a list of questions to which Respondent provided responses in bold as follows:
 1. The container that included the Tesla Model S, Mercedes EQS, and Honda was damaged due to a fire incident in Piraeus. **correct.**
 2. It appears that this container was positioned above ours, as the Jeep Cherokee (which was loaded on top of our container) was burned, especially the roof area, which was close to the top of the container. **cannot confirm this as we do not have copy of the survey report.**
 3. In your email dated October 2nd, you mentioned that if burned cargo of another customer, the owner of the burned cargo would be responsible for compensation. **In theory that would be correct but would need to be enforced in court of arbitration.**

4. We are waiting for your support to open a claim since our cargo was damaged as a result of a fire in another container that does not belong to us. **we will certainly assist you to the best of our ability and the rules that Maersk allows when the time comes but first the cargo situation needs to be cleaned up.**
5. Alternatively, please provide us with the Assignment of Rights so that we can open a claim directly with Maersk. We have already received proof from Maersk, and that email was forwarded to you previously. **As I previously advised, if this is an option that Maersk will confirm they allow I will gladly utilize this option.**
6. Please confirm with Maersk that the vehicles can be transported **without batteries** (two Tesla Model Y units). We are ready to pay ₹35,000-₹50,000 (Indian Rupees) for the dismantling service. **As of now that is the best option, so yes we will confirm this for the carrier.**
7. What is the status of the 2019 Jeep Cherokee? Are they planning to ship it? This vehicle appears to be the only one that was actually damaged. **As far as I understand they plan on shipping all of the vehicles.**
8. Lastly, since the shipping cost was already fully paid by us, please confirm if we are responsible only for covering the battery removal costs. **No, there will be additional fees I am sure of it. Once Maersk provides those we will forward same to you.**

C. Resp. RFI, at Exhibit L2.

17. On October 21, 2025, Claimant met with the CEO of Caramoto, owner of the other container involved in the casualty, to discuss the continuation of delivery of the containers to Poti, Georgia. C. Sec. Reply, at Exhibit 2, pic. 3.
18. On November 17, 2025, Respondent's technical consultant in Greece, Kalimbassieris Maritime, along with Maersk's technical consultant conducted a joint survey of the containers and the cargo damage. On December 3, 2025, Kalimbassieris Maritime issued its individual survey report ("Survey Report") of its findings. R. Resp. Sec. RFI, at Exhibit J.
19. The Survey Report confirms that container TRHU5228250 held Claimant's two Tesla vehicles with VIN numbers 7SAYGDEE1RF988952 and 7SAYGDEE3PA210498 and the Jeep Cherokee. The Survey Report also confirms that container MSKU1151727, belonging to Caramoto, contained a Tesla Model S VIN 5YJSA1E63NF460643, a Mercedes and a Honda. The Survey Report concludes with findings that the fire originated in the battery of Caramoto's Tesla Model S VIN 5YJSA1E63NF460643.⁵ *Id.*

⁵ The Survey Report conclusion erroneously identified Caramoto's vehicle Model S VIN 5YJSA1E63NF460643 as being in Claimant's container TRHU5228250. This statement is internally inconsistent with the report's own identification of the contents of each container as well as other shipping documents. The administrative record contains independent and

20. The Survey Report found that, with the exception of damage to the hood of the Jeep Cherokee, Claimant's vehicles sustained little to no damage. The batteries were removed from Claimant's Teslas, therefore, the Survey Report recommended that the vehicles be transported by road to Poti, Georgia, once the appropriate authorities authorized their release. *Id.*
21. On or about December 2, 2025, Respondent directed Claimant to send the vehicle titles, bills of sale and other shipping documents to Caramoto's agent in Georgia. This agent was purportedly arranging for retrieval of the vehicles from Greece and facilitating overland transport to Georgia. *See* C. Sec. Reply, Exhibit 2, pics. 1 and 2.
22. From October 5, 2025, through December 8, 2025, Respondent repeatedly advised Claimant that it had an attorney handling the situation and that there were no status updates.
23. On December 8, 2025, purportedly in response to a request for Respondent to pursue an insurance claim, Respondent advised Claimant that "the case is in court in Greece currently." C. Resp. RFI, at Exhibit M-M2.
24. Respondent submitted a memorandum prepared by its attorney with Gerassimou & Partners describing efforts purportedly taken to obtain release of Claimant's vehicles from the Greek authorities. With the exception of two dates in early January 2026, the memorandum does not identify the dates on which the described actions occurred. The memorandum, however, contends that on January 6, 2026, a Greek government official approved overland transport of the vehicles using an ADR certified transport company and that Argyropoulos Freight Forwarding – Container Depot – Trading & Co. was appointed to undertake the transport from Greece to Bulgaria and then on to Georgia. R. Resp. RFI, at Exhibit A.
25. On January 5, 2026, Respondent's Chief Operating Officer ("COO") advised Claimant that he instructed staff to cease communicating directly with Claimant and that all future communications should be directed to the COO or Respondent's attorneys. C. Sec. Reply, at Exhibit 2, pic. 4.
26. On January 7, 2026, Claimant emailed the CEO of Caramoto reminding him that, during their meeting on October 21, 2025, Caramoto had provided assurances that the cargo would be delivered to Poti, Georgia. Claimant advised that it had forwarded all requested documents to Caramoto's agent in Georgia as directed, but the agent reported having no information concerning the status of the transport. Claimant further stated that Respondent had also been unable to provide any updates and advised that the continued transport of the vehicles depended on Caramoto. Claimant also informed Caramoto's CEO that the merchant purchaser of the vehicles intended to pursue legal action against Claimant seeking a refund of the purchase price, including vehicle costs, ground

uncontradicted documentation, such as the master bill of lading manifest, which establishes a finding that the Model S VIN 5YJSA1E63NF460643 was not in Claimant's container TRUHU5228250 but was in Caramoto's container MSKU1151727. C. Resp. RFI, Exhibit G12.

transportation and freight charges if proof of transport did not occur within a week. C. Sec. Reply, at Exhibit 2, pic. 3.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. § 556(d); *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997). *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 1993 WL 13975538, at *13 (ALJ Dec. 9, 1993), adopted in relevant part, 1994 WL 279898 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

B. Adverse Evidentiary Inferences

Respondent’s failure to comply with the undersigned’s directives to produce information and supporting documentation has materially hindered the development of the evidentiary record. In an effort to develop a complete evidentiary record, the undersigned directed the parties to furnish responses and documentary evidence addressing specific issues identified in the case. *See* RFI; Sec. RFI. Claimant responded directly to the requests and produced the requested information. Respondent, by contrast, largely failed to produce the requested documentation and frequently provided nonresponsive answers rather than addressing the questions presented. *See* R. Resp. RFI; R. Resp. Sec. RFI.

Despite explicit warnings that noncompliance may result in procedural consequences, including drawing an adverse inference that the withheld information would have been unfavorable to its position, Respondent routinely submitted nonresponsive answers and failed to produce evidence. As explained in the Sec. RFI, procedural sanctions are appropriate where a party fails to comply with an order requiring disclosure. *See* 46 C.F.R. § 502.150(b) (authorizing the presiding officer to “make such orders in regard to the failures or refusal as are just” when a party fails or refuses to obey an order requiring disclosures). Administrative judges have long recognized the propriety of drawing adverse inferences from a party’s failure to produce relevant evidence within its control. *See International Union (UAW) v. N.L.R.B.*, 459 F.2d 1329, 1338

(D.C. Cir. 1972) (observing that courts have consistently upheld an administrative agency's practice of drawing an adverse inference from nonproduction of relevant evidence); *Kawasaki Kisen Kaisha, Ltd. v. The Port Authority of New York and New Jersey*, Docket 11-12, 2014 WL 7328475 (FMC Nov. 20, 2014) (affirming dismissal of complaint for failure to provide discovery); *Jamteck Int'l Shipping, Inc. – Possible Violations of the Comm'n's Regulations at 46 C.F.R. Part 515*, Docket No. 07-09, 2009 FMC LEXIS 13 (ALJ July 27, 2009), admin. final Aug. 31, 2009 (drawing an inference adverse to respondents based on their failure to respond to discovery).

The principle underlying these authorities is well established—where a party declines to produce information that is uniquely or exclusively within its possession and control, it is appropriate to draw an inference that the information would have been unfavorable to that party's position. *Gruenberg-Reisner v. Overseas Moving Specialists d/b/a Int'l Sea & Air Shipping*, Docket No. 1947(I), 2015 WL 14068488, at *7 (FMC June 30, 2015), admin. final Jan. 17, 2018 (citing *Alabama Power Co. v. F.P.C.*, 511 F.2d 383, 391 n. 14 (D.C. Cir. 1974) (“It is a familiar rule of evidence that a party having control over information bearing upon a disputed issue may be given the burden of bringing it forward and suffering an adverse inference from failure to do so.”)). Much of the information and documentation Respondent was ordered to provide was within Respondent's exclusive possession and control. Respondent was afforded the opportunity to produce the requested information and materials or assert that the requested information and materials should be given confidential treatment due to ongoing litigation. Instead, Respondent stated that it “is not presently a party to litigation against Maersk concerning ownership of Claimant's vehicles” and continued to withhold information and evidence. R. Resp. Sec. RFI, at Q3.

Accordingly, the undersigned draws adverse inferences against Respondent with respect to matters for which Respondent failed to produce evidence uniquely within its possession or control.

C. Alleged Violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4

The core of the Claim centers on Claimant's allegation that Respondent violated 46 U.S.C. § 41102(c) by engaging in an unjust and unreasonable practice in connection with the handling of its cargo following a casualty on board the vessel. *See* Claim.

Section 41102(c) of the Shipping Act, formerly 10(d)(1), prohibits “common carriers, marine terminal operators, and ocean transportation intermediaries from failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering of property.” 46 U.S.C. § 41102(c). The Commission promulgated 46 C.F.R. § 545.4 to clarify the elements required to establish a violation of section 41102(c). *See Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479-80 (Dec. 17, 2018).

- a. Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;

- b. The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- c. The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- d. The practice or regulation is unjust or unreasonable; and
- e. The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

1. Common Law Defenses

Before analyzing the elements of a section 41102(c) violation, Respondent's defense under common law and contract must be addressed. Rather than framing its defense around the claimed violations of the Shipping Act, Respondent relies upon common law principles of bailment and contract. Respondent argues that because the fire occurred on board the underlying carrier's vessel, the cargo was in the ocean carrier's exclusive custody and all liability under common law shifts to Maersk.

Respondent's reliance on common law principles is misplaced. While the existence of the transportation contracts in this case is factually relevant, contractual provisions and common law bailment theories are not dispositive of whether Respondent's conduct violated a statutory provision of the Shipping Act. The Commission exercises exclusive jurisdiction over claims arising from the Shipping Act and does not adjudicate common law claims. *See Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Docket No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 13, 2000) (noting that claims alleging breach of contract violations are not properly before the Commission). Shipping Act claims require a different analysis of statutory standards applicable to an entity's broader practices beyond those directly affecting the claimant. *USL Auto Exporting, Inc. v. Easy Shipping Corp.*, Docket No. 23-13, 2025 WL 1181598, at *16 (ALJ Apr. 16, 2025), admin. final May 19, 2025.

The dispositive question before the Commission is not whether Respondent may be liable under common law contract principles, but whether Respondent engaged in an unjust or unreasonable practice in violation of 46 U.S.C. § 41102(c). That determination is governed by the Shipping Act and Commission precedent, rather than by common law principles of contract or bailment. To the extent the parties raise common law claims and defenses, these are outside the scope of the Commission's jurisdiction and will not be considered in this Initial Decision.

2. Regulated Entity Status

Having established the Shipping Act governs this dispute, the record must first demonstrate that Respondent acted as a regulated entity—namely, a common carrier, marine terminal operator, or ocean transportation intermediary. 46 C.F.R. § 545.4(a). An “ocean transportation intermediary” (OTI) is defined as either an ocean freight forwarder or a non-vessel-operating common carrier. 46 U.S.C. § 40102(20).

The Shipping Act defines an NVOCC as a type of common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier. 46 U.S.C. § 40102(7), (17); *see also* 46 C.F.R. § 515.2(e), (m)(2). The Shipping Act further recognizes that an NVOCC is itself a “shipper” when dealing with the vessel-operating ocean carrier (“VOCC”) and accepts responsibility for payment of all charges applicable under the tariff or service contract. 46 U.S.C. § 40102(23)(E). Thus, the statutory scheme expressly recognizes that an NVOCC concurrently occupies two legal roles: that of a carrier to its customer and a shipper to the underlying VOCC.

An entity functions as an NVOCC only if it meets the Shipping Act definition of a common carrier. Specifically, it must: 1) hold itself out to the general public as providing transportation by water; 2) assume responsibility for the transport from port or point of receipt to the port or point of destination; and 3) use a vessel operating on the high seas between a port in the United States and a foreign country. 46 U.S.C. § 40102(7); *Anderson Int’l Transport and Owen Anderson – Possible Violations of Section 8(A) and 19 of the Shipping Act of 1984*, Docket No. 07-02, 2013 WL 9808666, at *8 (FMC June 25, 2013).

Consistent with these statutory definitions, the Commission’s regulations identify the functions typically performed by freight forwarders and NVOCCs. A freight forwarder typically books, arranges or confirms cargo space on behalf of a shipper; prepares or processes ocean bills of lading; and forwards freight or other monies advanced by shippers. *See* 46 C.F.R. § 515.2(h). In contrast, an NVOCC purchases transportation services from a common carrier and offers them for resale; enters into affreightment agreements with underlying shippers; issues bills of lading or other shipping documents; coordinates and pays for transportation between origin or destination and vessel; and collects freight money from shippers on its own behalf. *See* 46 C.F.R. § 515.2(k).

Throughout this proceeding, Respondent advances a contradictory posture with respect to its role in the transaction with Claimant: it adopts the regulatory role of an NVOCC while simultaneously attempting to limit its legal obligations to those of a mere booking agent, maintaining that its “sole involvement was the commercial arrangement of ocean freight by securing a booking with the underlying ocean carrier, Maersk.” *See* Response; R. Resp. RFI; R. Resp. Sec. RFI. The Commission has consistently held that an entity’s self-characterization of its services does not determine its legal status. Rather, the inquiry focuses on the substance of the services actually performed. *See EuroUSA Shipping, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984*, Docket No. 06-06, 2013 WL 9808689, at *10 (FMC Sept. 10, 2013); *see also Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, Docket No. 96-05, 2001 WL 865708, at *28 (FMC June 7, 2001).

In the present case, the evidentiary record demonstrates that Respondent operated as an NVOCC. First, by representing itself as a licensed NVOCC and posting a tariff, Respondent held itself out to provide ocean transportation. FF 2; *see also* <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=oti> (last visited August 10, 2026). Next, Respondent quoted independent freight rates for ocean transportation, which Claimant subsequently accepted. FF 4. Respondent contracted in its own name with Maersk for transportation of Claimant’s vehicles from the United States to the point of destination in Poti, Georgia. FF 5. Financial documents further corroborate this role, as Claimant was invoiced directly for freight and remitted payment to Respondent. FF 7. Moreover, the issuance of a house

bill of lading to Claimant demonstrates a clear assumption of carrier responsibility for the cargo. FF 6. Finally, consistent with this assumption of responsibility, the master bill of lading identifies Respondent, not Claimant, as the shipper of record. FF 5. Taken together, these facts establish that Respondent did not merely facilitate a transaction between Claimant and Maersk but assumed responsibility for the transportation of Claimant's cargo as an NVOCC.

The undisputed evidence establishes every hallmark of an NVOCC recognized by the Shipping Act and Commission precedent. Respondent held itself out to provide ocean transportation for compensation, contracted with Claimant for these services, collected freight charges, issued its own bill of lading, entered into a contract with Maersk as shipper, and was identified as shipper on the master bill of lading. Accordingly, Respondent acted as an NVOCC with respect to the shipments at issue and assumed responsibilities attendant to that role.

As the statutory definitions reflect, an NVOCC functions as a carrier in relationship with the exporter, rather than merely a booking intermediary. Here, Respondent contracted with Claimant for transportation of Claimant's cargo and, in turn, separately contracted with Maersk as shipper for the ocean carriage. Thus, two independent contractual relationships exist: one between Claimant and Respondent, and another between Respondent and Maersk. Consequently, the contract between Respondent and Maersk neither delegates Respondent's obligations to Claimant nor shields Respondent from liability to Claimant.

3. Connection to Handling or Delivering Property

It is undisputed that the conduct at issue relates directly to the handling, storage, and delivering of Claimant's vehicles, thereby satisfying the third element of the regulation.

4. Unjust or Unreasonable Conduct

a. Failure to Offer or Recommend Cargo Insurance

Claimant's initial assertion rests on the allegation that Respondent failed to advise or offer cargo insurance at the time of contracting. *See* Claim. This argument lacks merit. Claimant identifies no statutory or regulatory authority imposing this as an affirmative duty on an NVOCC. Neither the Shipping Act nor the Commission's regulations require an OTI to recommend or offer cargo insurance. *See* 46 C.F.R. § 515.31. Consequently, this omission does not constitute an unjust or unreasonable act.

The absence of a duty to recommend cargo insurance, however, does not resolve whether Respondent's subsequent conduct in handling Claimant's requests for information and compensation following the casualty was an unjust and unreasonable practice within the meaning of section 41102(c).

b. Impediment of Claims and Withholding of Evidence

The Commission's regulations require an NVOCC to furnish a bond, proof of insurance, or other surety to cover claims for damages arising out of its transportation related activities. *See* 46 C.F.R. §§ 515.21(a), 515.23. Respondent fulfilled this requirement and posted an NVOCC surety with United States Fire Insurance Company. FF 2. However, when Claimant initially

inquired about filing a claim for damages related to its cargo, Respondent did not provide information that would allow Claimant to file a claim with this surety provider. Instead, liability for the cargo damage was unilaterally disclaimed. While Respondent directed Claimant to pursue recovery directly from Maersk citing maritime standards, Respondent subsequently frustrated that recovery effort by withholding the requisite assignment of rights. FFs 11 and 12. This obfuscation was compounded when Claimant attempted to follow that directive. After a Maersk Senior Claims Adjuster explained to Claimant that it needed to obtain an Assignment of Rights from Respondent to proceed, Claimant prepared an Assignment of Rights form and forwarded it to Respondent for execution. FFs 13 and 14. Although Respondent continued to express its willingness to assist Claimant in pursuing a claim against Maersk, it failed to execute and return the required Assignment of Rights. FFs 12 and 16.

Respondent's obstruction extended beyond merely frustrating Claimant's ability to file a claim with the carrier. The record also establishes that Respondent failed to disclose material information necessary for Claimant to evaluate and pursue its cargo damage rights. Contemporaneous communications reveal that, on October 13, 2025, Respondent's COO claimed it did not have the initial survey report and could not comment on the damage to the cargo and possible source of the fire. FF 16. Despite the COO's representations, the initial October 2, 2025, communication from Respondent notifying Claimant of the damage indicates that the initial survey report was in Respondent's possession. FF 10. Moreover, on October 13, 2025, a representative from Respondent forwarded Claimant a portion of an undated email from Respondent's "Greece contact" that indicates the initial survey report was attached to the original email but expressly instructed Respondent to withhold the contents of the report from Claimant in order to "safeguard" Respondent's rights. FF 15.

Following this, the joint Survey Report conducted on November 17, 2025, established that the source of the fire did not originate from Claimant's container.⁶ FF 19. Despite holding this exculpatory evidence, Respondent took no steps to share the findings or update Claimant on the damage assessment. Claimant contends it also requested that Respondent pursue a claim through its insurance or other responsible parties associated with the incident but was advised that Respondent's attorney was coordinating matters in Greece and that "the case is in court in Greece currently." FF 23. However, in response to the SCO's inquiry, Respondent denies it is presently a party to litigation against Maersk concerning the fire. R. Resp. RFI, at Q3. By withholding evidence and blocking Claimant's access to Maersk, Respondent effectively blocked Claimant's legal ability to evaluate a claim for losses and seek recovery.

⁶ While the Survey Report contains a clerical error in its conclusion regarding which container housed the Model S Tesla VIN 5YJSA1E63NF460643 that started the fire, the SCO relies on the preponderance of the evidence to determine the fire's origin. The master bill of lading manifest, the physical description of the container locations, and the contemporaneous admissions of Respondent during communications in October 2025 corroborate that the fire did not originate in Claimant's container. Accordingly, the clerical inconsistency in the Survey Report's conclusion does not undermine the factual findings.

When viewed in its totality, Respondent's conduct went beyond a mere denial of liability and reflects a systematic relinquishment of its obligations. Respondent initially implied that Claimant was liable, disclaimed its own liability, and withheld information material to evaluating responsibility for the damage, including details regarding its own surety provider. Furthermore, while Respondent directed Claimant to pursue a claim with Maersk, it simultaneously frustrated that effort by failing to execute the required Assignment of Rights, all the while maintaining it was willing to do so. By advising Claimant its only remedy was with the carrier and then withholding the Assignment of Rights, Respondent retained exclusive control over the Maersk claim. Under these circumstances, Respondent's handling of Claimant's requests for compensation was unjust and unreasonable.

c. Failure to Communicate and Fulfill Transportation Obligations

In addition to mishandling Claimant's efforts to obtain compensation, Claimant asserts that Respondent engaged in an unjust and unreasonable practice by failing to provide meaningful information concerning the status, condition, location, investigation and disposition of the shipment or complete transport of the vehicles to Poti, Georgia. *See* Claim; C. Resp. RFI.

To excuse the prolonged delay, Respondent points to the maritime casualty and the intervening acts of Greek authorities as events entirely outside of its control. *See* Response; R. Resp. RFI. While Respondent correctly observes that the governing shipping documents do not guarantee a specific delivery date, this is not a complete shield against liability.

Commission precedent establishes that a prolonged delay alone does not give rise to a section 41102(c) Shipping Act violation, however, a violation may be found if the delay is compounded by additional aggravating factors. *Kobel v. Hapag-Lloyd A.G.*, Docket No. 10-06, 2013 WL 9808671, *26 (FMC July 12, 2013) (vacated and remanded on other grounds); *Gruenberg-Reisner v. Overseas Moving Specialists d/b/a Int'l Sea & Air Shipping*, Docket No. 1947(I), 2015 WL 14068488, *9 (FMC June 30, 2015), admin. final Jan. 17, 2018. Factors that the Commission has found sufficient to transform an otherwise nonactionable delay into an unjust and unreasonable practice include non-responsiveness, repeated misrepresentations regarding delivery dates, failure to fulfill OTI obligations, and patterns of deceptive conduct. *Meyan S.A. v. Int'l Frontier Forwarders*, 30 S.R.R. 1398, 1400 n.2 (2007); *Miller v. French Int'l Movers*, Docket No. 1834(I), 28 S.R.R. 1495 (2000); *Moreka v. Eastern Mediterranean Shipping Corp.*, Docket No. 1836(I), 28 S.R.R. 1127 (1999); *Eastern Mediterranean Shipping Corp. d/b/a Atlantic Ocean Line and Anil K. Sharma – Possible Violations of Sections 10(a)(1), 10(b)(1) of the Shipping Act of 1984*, 28 S.R.R. 791, 795 (ALJ 1999), admin. final Mar. 9, 1999.

The initial delay arose from the fire and resulting detention of the cargo by Greek authorities, events for which the record does not establish Respondent was responsible. Respondent's subsequent conduct, however, materially altered the character of that delay. Claimant was informed of the fire, and the option to remove the batteries and continue transporting the vehicles to Georgia or have the vehicles destroyed. FF 15. Following Claimant's election and payment to remove the batteries and continue transportation, it repeatedly sought information for several months concerning the investigation, condition of the vehicles, and resumption of delivery. FF 16 and 22. Respondent provided no meaningful information to Claimant regarding whether the batteries had been removed, whether the vehicles had been

released, or when transportation may resume. *Id.* Instead, Respondent advised Claimant that no updates were available and provided only vague representations that an attorney was handling matters in Greece. FF 22 and 23.

Respondent's representations in this proceeding do little to reconcile its lack of communication; rather, they highlight its contradictory position. To excuse its lack of communication, Respondent relies upon an unsworn memorandum prepared by Gerassimou & Partners asserting its counsel took extensive steps to obtain the release of Claimant's vehicles from Greek authorities. *See* R. Resp. RFI, at Exhibit A; R. Resp. Sec. RFI, at Q1 and Q5. Yet, Respondent never communicated these claimed efforts to Claimant. Respondent cannot use its attorney memorandum to claim it was actively cooperating, while simultaneously refusing to produce the very evidence needed to substantiate these efforts actually happened.

Although the memorandum cites eleven supporting exhibits, Respondent failed to produce them. The Sec. RFI specifically directed Respondent to produce these referenced exhibits. *See* Sec. RFI. Respondent failed to do so and produced only one exhibit, the Survey Report. *See* R. Resp. Sec. RFI, at Exhibit J. Because Respondent was explicitly directed to substantiate its counsel's claimed efforts and did not do so, an adverse inference is drawn that Respondent did not actually undertake these efforts. Consequently, the unsworn assertions in the memorandum are given no evidentiary weight except to the extent they are independently corroborated by the Survey Report or other evidence in the record.

More troubling, the evidentiary record indicates Respondent actively sought to divest itself of its carrier obligations. In early December 2025, acting on instructions from Respondent's documentation team, Claimant forwarded the bills of sale, titles, and other shipping documents for its cargo to Caramoto's agent in Georgia. FF 21. Claimant complied with this directive due to representations that this agent would execute retrieval of the vehicles from Greece and arrange the final overland transport to Georgia. Following this transfer of documents, Claimant contends Respondent advised that continued transportation of the vehicles depended on Caramoto, while Caramoto's agent reported having no information concerning the transportation status. FF 26. On January 5, 2026, Respondent's COO issued a blanket directive instructing staff to cease communicating directly with Claimant and that all future communications would need to go through himself or Respondent's legal counsel. FF 25.

These circumstances provide the aggravating factors that transform an otherwise nonactionable delay into unjust and unreasonable conduct. Respondent's conduct involved both persistent nonresponsiveness concerning the status and disposition of the vehicles and a failure to maintain responsibility for completion of the transportation it contracted to provide. The unjust and unreasonable conduct does not arise from the duration of the delay itself or from events outside of Respondent's control. Rather, the interruption caused by the casualty was compounded by Respondent's failure to fulfill its obligations as an NVOCC. Under these circumstances, Respondent's conduct is unjust and unreasonable within the meaning of section 41102(c).

5. The “Practice” Requirement

To establish a violation of section 41102(c), the unjust and unreasonable conduct must constitute a practice occurring on a normal, customary, and continuous basis. With the enactment of the rule codified at 46 C.F.R. § 545.4, the Commission restored its interpretation of section 41102(c) to its pre-2010 understanding and returned the Commission’s focus to the activities of regulated entities that affect the broader shipping public. *USL Auto Exporting, Inc. v. Easy Shipping Co.*, Docket No. 23-13, 2025 WL 1181598, at *18 (ALJ Apr. 16, 2025), admin. final May 19, 2025; *MAVL Capital, Inc. v. Marine Transport Logistic, Inc.*, Docket No. 16-16, 2021 WL 4554718, at *18 (ALJ Sept. 29, 2021) initial decision on remand (citing *Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367, 45368 (Sept. 8, 2018)). “The essence of a practice is uniformity. It is something habitually performed and it implies continuity . . . the usual course of conduct.” *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 187, 200-01 (Examiner 1964), *aff’d*, 8 F.M.C. 187 (FMC 1964).

The fact that Respondent engaged in multiple acts or omissions in connection with Claimant’s shipment does not, standing alone, establish a practice. The relevant record, however, extends beyond the unique circumstances in Claimant’s particular case. Throughout this proceeding, Respondent consistently maintained that, although operating as an NVOCC, it bears no responsibility beyond arranging and booking transportation with the carrier. Respondent’s asserted limitation on its responsibilities reflects its misunderstanding of the obligations associated with that role. After the casualty, Respondent directed Claimant to Maersk incorrectly stating that the legal maritime standard was for Claimant to pursue recovery directly from the carrier, yet Respondent failed to provide Claimant the means necessary to pursue a claim, placed responsibility for the continued transportation with Caramoto and its agent, and represented that it would merely “cooperate” with completion of delivery once the cargo was released. These are not just instances of poor customer service but consistently reflect Respondent’s asserted position that its responsibility to its customer did not extend beyond arranging the transportation with the carrier.

The record supports a reasonable inference that Respondent’s conduct resulted from its understanding of the services and responsibilities it assumes as an NVOCC in the normal course of its business rather than a response to the individual circumstances of Claimant’s shipment. Because that understanding governs how Respondent conducts itself with all its customers as an NVOCC, this perspective impacts the broader shipping public. Accordingly, the unjust and unreasonable conduct established here reflects Respondent’s usual course of conduct and satisfies the practice element of section 41102(c).

6. Respondent’s Conduct is Proximate Cause of Claimant’s Injury

Finally, to sustain a violation of section 41102(c), the record must demonstrate a causal nexus between Respondent’s unjust and unreasonable practices and Claimant’s resulting injury. The initial vessel fire and resulting interruption of the transportation were not attributable to Respondent, however, the injury caused by Respondent’s statutory violation is not limited to those events. Following the casualty, Respondent remained responsible as the contracting NVOCC for its handling of Claimant’s cargo and completion of the transportation. Instead, Respondent disclaimed responsibility, impeded Claimant’s efforts to pursue available recovery,

withheld material information, failed to provide Claimant with meaningful updates concerning the status and disposition of the cargo so it could manage downstream liability to its own customer, and failed to fulfill the transportation responsibilities it assumed as the contracting carrier.

As a result, Claimant is left without delivery of the vehicles, access to available avenues of recovery, or reliable information concerning its cargo. The current condition, release status, and precise location of the vehicles remain unknown. Respondent's unjust and unreasonable practices prolonged and exacerbated Claimant's loss of possession, control, and beneficial use of its vehicles and were a proximate cause of Claimant's injury. Claimant is, therefore, entitled to relief as discussed below.

D. Entitlement to Reparations

Under section 41305, the Commission has the authority to award reparations for actual injury caused by violation of the Shipping Act in order to restore the injured party to the position it would have been in absent the violation. 46 U.S.C. § 41305; *Adebisi Adenariwo v. BDP Int'l*, Docket No. 1921(I), 2013 WL 12618258, *7 (FMC Mar. 7, 2013) (citing *Brewer v. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, 28 S.R.R. 1331, 1336 (ALJ 2000)). A finding that Respondent violated the Shipping Act, standing alone, is insufficient to entitle Claimant to reparations. Rather, a claimant has the burden to demonstrate that it suffered an actual injury and that this injury was proximately caused by violation of the Shipping Act. *See Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, Docket No. 08-04, 2011 WL 7144007, at *18 (FMC Mar. 9, 2011); *Flanagan Shipping Co. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003).

Here, the compensable injury is not the physical damage initially sustained by the vehicles, but Claimant's continuing loss of possession, control, and beneficial use of the cargo prolonged and exacerbated by Respondent's statutory violations. More than ten months after the casualty, the vehicles have not been delivered to the contracted destination and their current condition, release status, and precise location remain unknown. Respondent has produced no evidence substantiating that release or continued transportation was being secured. Under these circumstances, Claimant has effectively been deprived of its vehicles and of the transportation services for which it paid. The record, therefore, entitles Claimant to an award based upon the value of the cargo and costs expended in relation to the transportation.

Claimant is entitled to reparations in the amount of \$43,658 as sought in the Claim representing the value of the vehicles, inland logistics transportation in the United States, container loading service and freight charges. Interest on reparations shall accrue from October 2, 2025, the date of injury. For purposes of calculating interest, October 2, 2025, is the appropriate date of injury because it is the date Claimant was first notified of the casualty impacting its cargo and from which loss of possession, control, and beneficial use of the vehicles arose. Interest shall be calculated pursuant to 46 C.F.R. § 502.253. *See* 46 U.S.C. § 41305(a).

IV. ORDER

Based upon the evidentiary record, the pleadings of the parties, and the foregoing findings of fact and conclusions of law set forth above, it is hereby

ORDERED that the Claim is **GRANTED**. It is

FURTHER ORDERED that Respondent violated 46 U.S.C. § 41102(c) and must pay Claimant reparations in the amount of \$43,658, together with interest calculated pursuant to 46 C.F.R. § 502.253 from October 2, 2025, the date of injury.

SO ORDERED

DEBRA L.

TESH -S

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DEBRA L. TESH -S

Date: 2026.08.12

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Debra L. Tesh

Small Claims Officer